This is why I have (repeatedly) argued that it isn't the valuation of markets that is so important, but rather, which direction that valuation is moving.[181]

People who are perplexed by a market that keeps rising—despite the usual wall of worry—should look at the psychology underlying this expansion. Bear markets don't begin until this psychology eventually shifts.

Pay attention to what is actually driving markets in this period, and not the pundits.

How significant is the idea of a *secular* bull market? As we see in the coming chapter, it should never be underestimated.

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176 Joshua M. Brown, "A Field Guide to Stock Market Corrections," The Reformed Broker (August 20, 2013).

177

Barry Ritholtz, "Looking at the Very Very Long Term," The Big Picture (November 6, 2003). I am anticipating criticism of my definition as "a rationalization of the current overpriced environment." However, the definition was first developed in 2003, in the opposite environment—with the Nasdaq Composite Index down almost 80%, and a full-on bear market raging.

178

Barry Ritholtz, "This Bull Market Has Room to Run: Many of the conditions are in place for long-term gains in stocks," Bloomberg UK (November 4, 2016).

179 S&P 500 Earnings by Year, multpl.com.

180 Note: We don't inflation adjust when comparing ratios like price-to-earnings (P/E), because it is pointless, as both the price (numerator) and earnings (denominator) are equally affected.

181 Barry Ritholtz, "How Expensive Are Stocks—Really?" Bloomberg (March 3, 2017). See also: Nir Kaissar and Barry Ritholtz, "How to Know When Stocks Are Properly Valued: A Debate," Bloomberg (June 26, 2017).